CHAPTER 8. TAXATION–METHODOLOGY NOTE

I. MOTIVATION

Taxation is a powerful policy tool that governments use to generate revenues and finance operations, public goods, and services. In the private sector, taxation can promote growth and development by financing physical infrastructure, human capital investments, law enforcement, and other public services. On the other hand, excessive taxation can distort markets, alter investment decisions, and foster tax evasion.[1] Likewise, cumbersome regulations, complex tax reporting requirements, and inefficient tax procedures may increase compliance costs for firms and discourage formalization.[2] Identifying the challenges taxpayers face can guide reforms that support private sector development while pursuing domestic resource mobilization objectives.

According to academic research, deficiencies such as complicated tax regulations, inefficient tax administration, and high tax compliance costs can affect private sector development.[3] The Taxation topic indicators include measures that capture these potential issues, as well as measures that focus on environmental sustainability.

Digitalization of tax administration services positively impacts tax collection.[4] Electronic filing services contribute to reducing compliance costs and foster a more transparent tax regime by curbing corruption and bribe solicitation.[5] Digitalization of the tax administration's procedures also helps reduce tax evasion.[6]

The efficiency of tax administration systems also impacts the burden of administrative compliance. Research shows that economies with efficient tax administration procedures—easily accessible information, e-tax systems, effective risk management, and transparency—experience greater firm productivity and economic growth.[7] Impartial, accessible, and efficient tax dispute resolution mechanisms are essential for allowing taxpayers to challenge tax assessments and receive prompt and fair hearing.[8] Finally, improving internal efficiency enables tax administrations to unlock additional revenues.[9]

In addition to boosting economic performance, taxation can be a powerful tool in promoting environmental sustainability. Environmental taxes effectively address market failures in accounting for environmental impacts. Carbon pricing allows consumers and businesses to choose cost-effective methods to reduce their environmental "footprint" or to incentivize innovation by investing in low-carbon emissions technologies.[10]

II. INDICATORS

The Taxation topic measures the quality of tax regulations, administration, and implementation from a firm's perspective across the three different dimensions, here referred to as pillars. The first pillar assesses the quality of tax regulations, covering de jure and de facto information on the legal framework. The second pillar measures the quality of tax administration by assessing the tax-related public services. The third pillar measures the efficiency of tax regulation and related public services from a firm's perspective. Each pillar is divided into categories—defined by common features that inform the grouping into a particular category—and each category is further divided into subcategories. Each subcategory has one or several indicators, each of which may, in turn, consist of one or several components. Relevant points are assigned to each indicator and subsequently aggregated to obtain the number of points for each subcategory, category, and pillar. Table 1 summarizes all three pillars and their respective categories.

Table 1. Summary Table of all Three Pillars for the Taxation Topic

Pillar I–Quality of Tax Regulations (12 indicators)	
1.1	Clarity and Transparency (4 indicators)

1.1.1	Clarity of Tax Regulations (2 indicators)
1.1.2	Transparency of Changes in Tax Regulations (2 indicators)
1.2	**Administrative Procedures (4 indicators)**
1.2.1	Simplified Tax Record Keeping and Reporting (1 indicator)
1.2.2	General Tax Registration (1 indicator)
1.2.3	Consumption-Based Tax Registration (1 indicator)
1.2.4	VAT Refund (1 indicator)
1.3	**Environmental Fiscal Instruments (4 indicators)**
1.3.1	Carbon Pricing Instruments (2 indicators)
1.3.2	Supplementary Environmental Fiscal Measures (2 indicators)
Pillar II–Public Services Provided to Corporate Taxpayers (17 indicators)	
2.1	**Digital Services for Taxpayers (7 indicators)**
2.1.1	Online Taxpayer Portal (1 indicator)
2.1.2	E-Filing (2 indicators)
2.1.3	Pre-Filled Tax Returns (1 indicator)
2.1.4	E-Payment (1 indicator)
2.1.5	Tax Accounting Integration (2 indicators)
2.2	**Data Management and System Integration (4 indicators)**
2.2.1	Taxpayer Registration (1 indicator)
2.2.2	Taxpayer Deregistration (1 indicator)
2.2.3	Taxpayer Database (2 indicators)
2.3	**Transparency (2 indicators)**
2.3.1	Annual Performance (1 indicator)
2.3.2	Public Accountability (1 indicator)
2.4	**Tax Audits and Related Disputes (4 indicators)**
2.4.1	Tax Audits (2 indicators)
2.4.2	Dispute of Tax Audit Results (2 indicators)
Pillar III–Efficiency of Tax System in Practice (7 indicators)	
3.1	**Time and Functionality of Processes (5 indicators)**
3.1.1	Time to Prepare, File, and Pay Taxes (1 indicator)
3.1.2	Use of Electronic Systems to File and Pay Taxes (1 indicator)
3.1.3	Duration of a Generic Tax Audit (1 indicator)
3.1.4	Duration of a Tax Dispute (1 indicator)
3.1.5	Obtaining a VAT Refund in Practice (1 indicator)
3.2	**Financial Burden on Firms (2 indicators)**
3.2.1	Effective Tax Rate (ETR) for Profit Taxes (1 indicator)
3.2.2	Effective Tax Rate (ETR) for Employment-Based Taxes and Social Contributions (1 indicator)

Note: VAT = Value Added Tax; TIN = Taxpayer's Identification Number.

1. PILLAR I. QUALITY OF TAX REGULATIONS

Table 2 shows the structure for Pillar I, Quality of Tax Regulations. Each of this pillar's categories and subcategories will be discussed in more detail in the order shown in the table.

Table 2. Pillar I–Quality of Tax Regulations

1.1	**Clarity and Transparency**
1.1.1	Clarity of Tax Regulations
1.1.2	Transparency of Changes in Tax Regulations
1.2	**Administrative Procedures**
1.2.1	Simplified Tax Record Keeping and Reporting
1.2.2	General Tax Registration
1.2.3	Consumption-Based Tax Registration
1.2.4	VAT Refund
1.3	**Environmental Fiscal Instruments**
1.3.1	Carbon Pricing Instruments
1.3.2	Supplementary Environmental Fiscal Measures